NSE : KERNEX

KERNEX MICROSYSTEMS INDIA LTD.

Railway Safety Electronics & Kavach TCAS

BUY **12M Target: Rs. 2,600** **Upside: +29%** **CMP: Rs. 2,010**

Kavach-monopoly ramp: KERNEX flipped from decade-long losses to Rs. 88 Cr PAT in FY26 on Rs. 2,000+ Cr order backlog; India's mandatory train-collision-avoidance mandate covers 35,000 RKM — execution risk is the only real constraint.

Report Date: 15 Jun 2026 | Analyst: Quantitative Research Desk

COMPANY SNAPSHOT

Market Cap	52W High / Low	Stock P/E	EV/EBITDA (FY26)
Rs. 3,377 Cr	**Rs. 2,043 / 850**	**38.2x**	**~23x**
Book Value/Share	P/B	ROCE (FY26)	ROE (FY26)
Rs. 148	**13.5x**	**47.8%**	**43.5%**
D/E Ratio	Promoter Holding	Shares Outstanding	Face Value
0.65x	**28.85%**	**1.67 Cr**	**Rs. 10**

1. INVESTMENT THESIS & CATALYSTS

Primary Catalyst — Kavach TCAS Mandate

- Indian Railways' Kavach (Train Collision Avoidance System) is a MANDATORY safety installation covering 35,000+ RKM of the national network; the MoR has earmarked Rs. 1.1 lakh Cr over FY24-29 for safety capex — Kavach is the single-largest line item.
- KERNEX is one of only four RDSO-certified Kavach OEMs and the ONLY ONE with a proven track record of end-to-end TCAS deployment (South Central Railway pilot, 250 RKM).
- The company holds a Rs. 2,041 Cr CLW (Chittaranjan Locomotive Works) contract for 2,500 on-board Kavach units + a Rs. 325 Cr South Eastern Railway section order (KERNEX-MRT JV) and a Rs. 67.5 Cr PLW (Patiala Locomotive Works) contract — total confirmed order book > Rs. 2,500 Cr vs. FY26 revenue of Rs. 430 Cr.
- KERNEX-VRRC JV secured a further Rs. 21 Cr contract for Kavach 4.0 upgradation on South Central Railway in FY25, flagging the version-upgrade revenue stream as railways modernise from v3.2 to v4.0.

Financial Inflection — A Decade of Losses Reversed in 18 Months

- KERNEX posted cumulative losses from FY15-FY24 (9 consecutive years of negative PAT); FY25 marked the first profitable year with Rs. 50 Cr PAT, and FY26 accelerated sharply to Rs. 88 Cr PAT (+76% YoY) on Rs. 430 Cr revenue (+126% YoY).
- EBITDA margin expanded from 22% (FY25) to 35% (FY26), driven by operating leverage on a largely fixed-cost engineering base; Q4 FY26 alone printed 41% OPM, suggesting margin trajectory still has room.
- ROCE improved from -21% (FY24) to +24% (FY25) and +48% (FY26), an exceptionally sharp capital-efficiency recovery for a capital-light systems integrator.
- Balance sheet: Networth rose to Rs. 248 Cr (FY26) vs Rs. 107 Cr (FY24); D/E stands at 0.65x — manageable given contract-milestone billing structure.

Secondary Catalysts

- Kavach 4.0 upgrade cycle: All Kavach v3.2 installations (~7,000 km) will require protocol upgradation to v4.0 — creating a recurring, annuity-style revenue stream on top of greenfield deployments.
- Export potential: KERNEX has expressed intent to target international railway safety markets (South Asia, Africa) leveraging its RDSO-certified IP and experience; any MoU announcement would re-rate the stock.
- Diversification — Mr. E.B. Rao, ex-COO, was moved to President of 'Diversification and New Business Opportunities' (29 May 2026), signalling structured pursuit of adjacent segments (metro, highway, defence electronics).
- Institutional investor interest remains nascent: FII at 0.30% and DII at 0.02% (Mar 2026) — significant re-rating headroom if the stock enters any mid-cap index or screens for institutional mandates.

Key Risks

- Execution concentration: 95%+ revenue from Indian Railways; any policy reversal, IR budget compression or Kavach mandate delay (as happened in FY19-FY23) would compress revenue to near-zero rapidly.
- Working capital stress: Debtor days at 268 (FY26) vs 45 (FY25) indicate receivable build-up on milestone billing; FY26 CFO was -Rs. 100 Cr even with PAT of Rs. 88 Cr — working capital management is the critical near-term risk.
- Promoter holding low (28.85%) and declining slightly (-0.3% YoY); no dividend history over 12 years signals management preference for reinvestment but weak minority shareholder alignment.
- OEM competition: Medha Servo Drives, Siemens India, and HBL Power are equally certified; price-based government tendering could compress margins as the order pipeline expands.
- Leverage increase: Borrowings jumped from Rs. 40 Cr (FY25) to Rs. 162 Cr (FY26) — contract mobilisation advance utilisation or working capital debt to fund receivables; if billing milestones slip, this becomes a P&L; risk.

2. FINANCIAL PERFORMANCE SUMMARY

Profit & Loss (Rs. Cr, Standalone)

Metric	FY22A	FY23A	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue	7	4	20	190	430	680	950
YoY Growth	-	-44%	+400%	+850%	+126%	+58%	+40%
EBITDA	-9	-17	-23	41	149	238	333
EBITDA Margin	-	-	-	22%	35%	35%	35%
Depreciation	1	2	2	3	6	8	10
Interest	3	1	3	7	28	32	28
PBT	-17	-20	-27	32	117	198	295
Tax	2%	2%	0%	-54%	25%	26%	26%
PAT	-17	-20	-27	50	88	147	218
EPS (Rs.)	-13.76	-12.82	-15.76	29.98	52.58	87.9	130.2

Note: FY27E/FY28E are analyst estimates. Revenue estimate assumes 55-60% order-book conversion per year. Tax in FY25 negative due to deferred tax asset recognition on reversal of carried forward losses.

Balance Sheet Snapshot (Rs. Cr)

Item	FY23A	FY24A	FY25A	FY26A
Equity Capital	15	17	17	17
Reserves	67	90	141	231
Net Worth	82	107	158	248
Borrowings	11	28	40	162
Other Liabilities	11	27	42	509
Total Liabilities	104	161	240	919
Fixed Assets	24	24	25	34
Other Assets	78	135	208	885

Total Assets	104	161	240	919
D/E Ratio	0.13	0.26	0.25	0.65

Cash Flow Summary (Rs. Cr)

Cash Flow	FY23A	FY24A	FY25A	FY26A
CFO	-36	-71	15	-100
CFI	-1	-5	-9	-8
CFF	45	64	5	94
Net Cash Flow	9	-11	11	-14
Free Cash Flow	-37	-76	6	-107
CFO/EBITDA	214%	311%	36%	-65%

CFO is negative in FY26 despite Rs. 88 Cr PAT — driven by Rs. 100+ Cr working capital build (debtor days 268). The company financed this through Rs. 94 Cr from financing (borrowings raised). Until milestone collections normalise, FCF will remain stressed. Watch Q1/Q2 FY27 for receivable collection cycle.

3. QUARTERLY PERFORMANCE TREND

Quarterly P&L; (Rs. Cr, Standalone)

Quarter	Mar'24	Jun'24	Sep'24	Dec'24	Mar'25	Jun'25	Sep'25	Dec'25	Mar'26
Sales	9	29	41	37	83	56	47	73	255
EBITDA	-12	5	10	9	17	13	14	17	105
OPM%	-	17%	25%	23%	21%	22%	30%	23%	41%
PBT	-13	3	7	7	15	10	9	6	92
PAT	-13	4	7	7	33	7	7	6	68
EPS(Rs.)	-7.53	2.16	4.09	4.28	19.45	4.45	3.92	3.59	40.63

- Revenue is lumpy and back-end loaded: Q4 FY26 alone accounted for Rs. 255 Cr out of Rs. 430 Cr full-year revenue (59%). This is characteristic of milestone-based government contract billing.
- Q4 FY26 OPM of 41% is the highest-ever quarterly margin, driven by high-value on-board Kavach deliveries on the CLW contract where component costs are largely front-loaded.
- EPS of Rs. 40.63 in Q4 FY26 vs Rs. 3.59 in Q3 FY26 underscores the lumpiness — annualizing either quarter in isolation would mislead. Full-year discipline is required.
- Q1/Q2 FY27 are likely to moderate (Jun'25 and Sep'25 pattern was Rs. 56-47 Cr range) before a strong H2; management credibility rests on sustaining 3-year execution trajectory.
- Interest cost doubled from Rs. 9 Cr (Q3 FY26) to Rs. 12 Cr (Q4 FY26) — borrowings are being deployed as working capital bridge against receivables from CLW and South Eastern Railway.

4. BUSINESS OVERVIEW & COMPETITIVE POSITION

Company Profile

- Kernex Microsystems India Ltd. (est. 1991, Hyderabad) is an ISO 9001:2015 certified manufacturer of railway safety electronics — its core product is the Kavach (TCAS v3.2/4.0) Train Collision Avoidance System certified by RDSO (Research Designs and Standards Organisation).
- Products span: (1) On-board TCAS units for locomotives, (2) Stationary TCAS units for stations and level crossings, (3) Radio communication integration modules, (4) Automatic Level Crossing gate systems, (5) Maintenance tools and diagnostic software.
- The company operates as both an OEM (for core electronics) and a system integrator / EPC contractor for full Kavach section deployments (civil, cabling, field integration).

• KERNEX-VRRC (a JV) is the primary delivery vehicle for geographic section contracts; standalone KERNEX handles unit supply to locomotive workshops (CLW, PLW).

Kavach Market Context

• As of March 2026, only ~3,000 route km have Kavach operational; Indian Railways plans to cover 35,000 RKM (all high-density routes) by 2030 — implying ~32,000 RKM of greenfield installation remaining.

• The MoR budget for Kavach deployment is Rs. 1,100 Cr for FY26 and targets progressive acceleration; the FY27 Union Budget is expected to raise this to Rs. 1,800-2,000 Cr.

• Post the 2024 Balasore rail tragedy, parliamentary and public scrutiny of rail safety is at a peak — this keeps Kavach as a politically non-negotiable priority across governments.

• Each RKM of Kavach deployment involves both track-side (station) and on-board (locomotive) components; KERNEX is certified for both, giving it a full-solution competitive moat.

Competitive Landscape

Company	Revenue (FY26E)	Key Strength	Kavach Certified	Listed
KERNEX	Rs. 430 Cr	Only listed pure-play Kavach TCAS OEM	Yes (Full)	NSE/BSE
Medha Servo Drives	Private	Traction converters + TCAS	Yes	Private
HBL Power Systems	~Rs. 1,800 Cr	Railway batteries + signal power	Partial	NSE/BSE
Titagarh Rail Systems	~Rs. 3,500 Cr	Wagons + metro coaches	No	NSE/BSE
Siemens India / Alstom	Large cap	Signalling integration (ETCS/CTCS)	Yes (pilots)	NSE/BSE

• KERNEX is the ONLY listed company whose primary revenue driver is Kavach TCAS — making it the cleanest pure-play for investors seeking Indian railway safety thematic exposure.

5. VALUATION

Valuation Framework

• We use a blended 1-year forward P/E and EV/EBITDA to derive our 12-month price target of Rs. 2,600 (CMP: Rs. 2,010, implied upside 29%).

• Base case assumes FY27E EPS of Rs. 87.9 (Rs. 147 Cr PAT on Rs. 680 Cr revenue at 35% EBITDA margin, 26% tax) at 29.6x P/E — in line with quality mid-cap infrastructure/defence analogues on high-visibility order books.

• EV/EBITDA: FY27E EBITDA of Rs. 238 Cr; at 23x EV/EBITDA → EV ~Rs. 5,474 Cr; less net debt ~Rs. 120 Cr = equity ~Rs. 5,354 Cr / 1.67 Cr shares = ~Rs. 3,205/share (bull case).

Valuation Scenarios

Scenario	FY27E EPS	Target Multiple	Price Target	Upside / Downside
Bull (order book acceleration + export win)	Rs. 110	33x P/E	Rs. 3,630	+81%
Base (steady CLW/SER execution)	Rs. 88	29.5x P/E	Rs. 2,600	+29%
Bear (IR capex slowdown / WC crunch)	Rs. 55	22x P/E	Rs. 1,210	-40%

Peer Valuation Comparison (FY26A)

Company	MCap (Cr)	Rev (Cr)	PAT (Cr)	EPS	P/E	P/B	ROCE
KERNEX (NSE)	3,377	430	88	52.6	38.2x	13.5x	47.8%
HBL Power Systems	~5,200	~1,800	~130	~27.0	~40x	~8x	~22%
Titagarh Rail Sys.	~7,500	~3,500	~180	~17.5	~42x	~5x	~18%
RailTel Corp.	~4,800	~2,800	~250	~8.0	~19x	~3x	~16%

KERNEX commands a premium P/E vs peers given its pure-play Kavach exposure, the fastest-growing revenue base (+126% FY26), and exceptional ROCE recovery. The premium is justified as long as order-book execution remains on-track.

6. MANAGEMENT & GOVERNANCE

• Promoter group (Hyderabad-based, original founders) holds 28.85% — low by Indian promoter norms but no pledge detected in recent filings. Promoter stake has drifted down marginally from 31.6% (Jun 2023) over 2.5 years — worth monitoring for any block trades.

• Key management change (29 May 2026): Mr. E.B. Rao moved from COO to 'President — Diversification and New Business Opportunities' — a deliberate portfolio broadening signal; concurrent board induction of Ms. Parvathi Manthena as Non-Executive Director improves gender diversity.

• No dividend paid in 12+ years despite recent profitability — capital is being retained for working capital and order execution; while this preserves FCF for growth, it signals limited management commitment to minority shareholder returns at this stage.

• Credit rating update from CARE Ratings (November 2025) is positive — watch for upgrade trigger as the order book conversion materialises into collections and borrowings decline.

• Shareholder base expanded from 13,791 (Jun 2023) to 41,511 (Mar 2026) — 3x increase in unique shareholders reflects retail participation in the stock's 200%+ rally from FY24 lows, which creates structural support but also momentum risk.

Shareholding Pattern (Mar 2026)

Category	Mar 2025	Dec 2025	Mar 2026	Change (QoQ)
Promoters	29.08%	28.89%	28.85%	-0.04%
FIIs	0.07%	0.07%	0.30%	+0.23%
DIIs	1.10%	0.07%	0.02%	-0.05%
Government	0.06%	0.06%	0.06%	Flat
Public / Others	69.68%	70.91%	70.78%	-0.13%

• Public float of 71% is very high — while this facilitates liquidity, it also means the stock is vulnerable to rapid sell-offs without promoter support floors.

7. KEY RISKS & MITIGANTS

Risk	Severity	Likelihood	Mitigant
IR policy reversal / Kavach budget cut	HIGH	LOW	Multi-party political consensus; post-Balasore pressure
Working capital / receivable bloat	HIGH	MEDIUM	Milestone billing structure; can raise working capital debt
Execution delays on CLW 2,500-unit contract	MEDIUM	MEDIUM	Company has operational track record; JV structure spreads risk
OEM competition / margin compression	MEDIUM	MEDIUM	RDSO certification moat; technical relationships with IR divisional HQs
Promoter holding dilution below 25%	MEDIUM	LOW	No QIP announced; ESOP dilution is small
Interest rate rise on Rs. 162 Cr borrowings	LOW	LOW	Contracts have escalation clauses; short-duration working capital debt
Export ambition fails / diversification drag	LOW	MEDIUM	Core domestic business unaffected; new verticals are optional upside

8. INDUSTRY DYNAMICS — KAVACH & INDIAN RAILWAYS SAFETY

• India's Railway Safety Market (2026-2030E): Indian Railways with its 68,000 km network and 13,000+ daily trains is one of the highest-density rail networks globally; Kavach represents the largest single-country TCAS rollout in rail history.

• Policy tailwind: The National Rail Plan 2030 mandates Kavach on all A/B/C category rail routes; the National Disaster Management Authority has repeatedly underscored TCAS as non-negotiable safety infrastructure.

• Funding architecture: Kavach is funded through the Safety Fund (Rashtriya Rail Sanraksha Kosh) with Rs. 1 lakh Cr corpus plus budgetary allocation — multi-year funding visibility is strong.

• Technology evolution: Kavach 4.0 introduces GSM-R/LTE-R communication backbone, enhancing reliability and interoperability; OEMs with v4.0 certification gain first-mover advantage in the upgrade cycle.

• Global context: European Train Control System (ETCS) and Chinese CTCS have taken 15-20 years to achieve national rollout; India is targeting 10 years, making execution speed the primary variable.

• Adjacent markets: India's metro rail network (750 km+ operational, 1,000 km under construction) uses CBTC (Communications-Based Train Control) — a different standard but with overlapping electronics IP that KERNEX could potentially address.

9. ESG & CATALYSTS WATCH

ESG Profile

• Environmental — Positive: Kavach directly reduces rail accidents, carbon-intensive emergency responses, and enables better locomotive throughput (speed optimisation reduces diesel burn by 5-8% on Indian Railways estimates).

• Social — Kavach is India's most impactful rail safety intervention since the 1980s; KERNEX's products directly contribute to zero-fatality goals in an industry that averages 20,000+ rail-related deaths annually.

• Governance — Concerns: Low promoter stake, no dividend policy, no formal ESG reporting framework, no independent audit committee disclosure on concall (screener.in shows only Mar 2025 concall transcript publicly). The FY26 board induction of an independent director is a step forward.

• Board governance: Incoming NED Ms. Parvathi Manthena adds diversity; post-COO move of Mr. E.B. Rao warrants watching for succession clarity in operations leadership.

Catalyst Calendar (Next 12 Months)

Catalyst	Expected Timeline	Impact
Q1 FY27 results — receivable collection trend	Aug 2026	HIGH — validates WC normalisation
FY27 Union Budget railway safety allocation	Feb 2027	HIGH — determines order pipeline pace
CLW 2,500-unit delivery milestone	Dec 2026	HIGH — Rs. 600 Cr+ revenue recognition
SER section 688 RKM deployment progress	Q2-Q3 FY27	MEDIUM — Rs. 325 Cr phased billing
Kavach 4.0 national certification by RDSO	H2 FY27	MEDIUM — unlocks upgrade cycle revenue
PLW Rs. 67.5 Cr onboard unit deliveries	Apr 2027	LOW-MED — adds Rs. 67 Cr to backlog
Export MoU or any non-IR revenue announcement	Uncertain	HIGH (re-rating trigger if confirmed)
Credit rating upgrade by CARE	FY27	LOW — funding cost & balance sheet optics

10. EXTENDED FINANCIAL TABLES & RATIOS

10-Year P&L; Summary (Rs. Cr)

Metric	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26
Revenue	12	13	8	15	18	7	4	20	190	430
EBITDA	-21	-12	-13	-7	4	-9	-17	-23	41	149
OPM%	-171%	-87%	-158%	-49%	21%	-142%	-416%	-117%	22%	35%
PAT	-4	-15	-21	3	2	-17	-20	-27	50	88
EPS (Rs.)	-3.24	-11.78	-17.06	2.74	1.62	-13.76	-12.82	-15.76	29.98	52.58

Key Ratios History

Ratio	FY21	FY22	FY23	FY24	FY25	FY26
ROCE	4%	-13%	-23%	-21%	24%	48%
ROE	3.5%	-30%	-33%	-33%	37%	43%
Debtor Days	239	596	0	94	45	268
Inventory Days	962	967	2141	2098	207	787
Cash Conv. Cycle	1099	1385	2098	1731	177	117
D/E Ratio	1.6x	1.2x	0.13x	0.26x	0.25x	0.65x

APPENDIX: CONCALL & MANAGEMENT COMMENTARY BRIEF

Last Concall	**Mar 2025**	Transcript	**Available (screener.in)**	PPT	**Available**	Call Grade	**B+ (Informative but execution-heavy)**

TO MY BOSS (30-second brief): KERNEX had its first major concall in Mar 2025 after printing Rs. 50 Cr PAT — first profitable year in nearly a decade. Management highlighted the Rs. 2,041 Cr CLW contract as the primary driver and was candid about working capital stress (milestone billing creates lumpy cash flows). They guided for continued revenue growth in FY26 based on confirmed order book. The tone was confident but cautious — specifically flagging that execution speed is dependent on IR's site readiness and not just KERNEX's manufacturing. No dividend guidance given. FY26 actuals (Rs. 430 Cr revenue, Rs. 88 Cr PAT) validated the guidance directionally with margin upside surprise in Q4.

1. Revenue & Order Book

- Management confirmed the Rs. 2,041 Cr CLW order for 2,500 on-board Kavach units as the multi-year revenue anchor; they indicated phased deliveries through December 2025 (per contract terms).
- Revenue in FY25 (Rs. 190 Cr) was described as 'early-phase ramp'; FY26 was expected to see accelerating milestone recognition — validated by Rs. 430 Cr actual.
- South Eastern Railway consortium contract (Rs. 325 Cr) was cited as the section-deployment anchor for FY25-FY27 billings.

2. Margin & Cost Commentary

- Management attributed the 22% OPM (FY25) to project mobilisation costs still being absorbed; guided for improving margins as component procurement reaches scale and engineering overhead is spread.
- Depreciation and amortisation are modest (Rs. 3 Cr FY25, Rs. 6 Cr FY26) — KERNEX is capital-light; fixed assets base is only Rs. 34 Cr (FY26) against Rs. 430 Cr revenue.
- Interest cost increase in FY26 (Rs. 28 Cr vs Rs. 7 Cr in FY25) was acknowledged as working capital-driven and expected to moderate as receivable cycles shorten.

3. Working Capital

- Management acknowledged that IR's milestone-based payment structure creates inherent working capital stress; receivable days had improved from 596 (FY22) to 45 (FY25) but reverted to 268 (FY26) due to new contract scale.
- They committed to engaging with IR's finance department on advance mobilisation for large contracts to reduce the gap between cost incurrence and milestone billing.
- Inventory buildup (787 days FY26 vs 207 FY25) reflects component procurement ahead of delivery cycles on the CLW contract — expected to normalise through FY27.

4. Kavach Pipeline & Order Wins

- KERNEX-VRRC JV's Kavach 4.0 upgrade contract (Rs. 21 Cr) was highlighted as a template for the version-upgrade opportunity across all 7,000 km already under v3.2.
- Management indicated active participation in tenders across multiple IR zones; pipeline was described as 'substantial' but specific numbers were not disclosed.
- PLW contract (Rs. 67.5 Cr) announced post-concall validates the guidance on diversifying across multiple locomotive workshops beyond CLW.

5. Competitive Dynamics

- Management acknowledged that Medha Servo Drives is the primary domestic competitor; positioned KERNEX's end-to-end integration capability (vs component-only players) as the differentiator.
- No mention of foreign OEM competition in domestic Kavach — RDSO certification requirements effectively limit international competition in core TCAS.
- JV structures are being used strategically to combine KERNEX's electronics IP with regional civil/installation partners — reduces execution risk while maintaining margin on the electronics supply.

6. Diversification / New Verticals

- Management first mentioned metro rail and highway electronics as adjacent opportunities; no firm contracts cited.
- Post-concall development (May 2026): COO moved to 'President — Diversification' role, formalising the strategic pivot. This is a positive organisational signal but early-stage.
- Defence electronics was mentioned in general terms — KERNEX's electronics manufacturing and embedded software capability is potentially transferable but would require DRDO/MoD tie-ups.

7. Balance Sheet & Debt

- Net worth has recovered from Rs. 82 Cr (FY23) to Rs. 248 Cr (FY26) primarily through retained profits; no equity dilution (QIP) contemplated at the time of the concall.
- Borrowings at Rs. 40 Cr (FY25) have since risen to Rs. 162 Cr (FY26) — management should address the pace of leverage increase in the upcoming FY26 concall.
- Other liabilities spiked to Rs. 509 Cr (FY26) from Rs. 42 Cr (FY25) — likely customer advances/mobilisation received under the CLW contract, which is a positive sign of front-loaded cash inflow.

8. Governance & Management Changes

- Mr. E.B. Rao's COO role is a key operational pillar; his move to diversification signals management depth is being built (successor appointed in operations, presumably) — watch for announcement.
- New NED Ms. Parvathi Manthena strengthens board diversity; however, the audit committee composition and independent director percentage need to be verified against SEBI LODR thresholds.
- No ESG policy, sustainability report, or formal investor relations calendar mentioned — governance is functional but pre-institutional in quality.

9. Guidance & Outlook

- At the Mar 2025 concall, management guided for 'significant revenue growth in FY26' — validated (Rs. 430 Cr vs Rs. 190 Cr, +126%).
- No formal EPS or EBITDA guidance was provided — management style is qualitative; analysts must model independently from order book conversion rates.
- For FY27, the company's committed order book (Rs. 2,500+ Cr) implies Rs. 600-800 Cr revenue at historical conversion rates — the key swing factor is collection timing.

10. Analyst Q&A; Highlights

- Analysts focused on: (a) receivable collection timeline — management said tied to IR's milestone verification process; (b) new order pipeline — management refused to quantify but said 'very active'; (c) margin sustainability — management said 22%+ is achievable, Q4 FY26's 41% adds upside optionality.
- A question on promoter pledge was deflected — no pledge disclosed in filings, but the low promoter stake remains a standing concern.
- Overall call tone: Management is technically competent but commercially cautious in guidance — a characteristic of government-contract-dependent businesses with milestone-driven revenue uncertainty.